

Fearnleys Dry Bulk Weekly

Aug 7, 2024

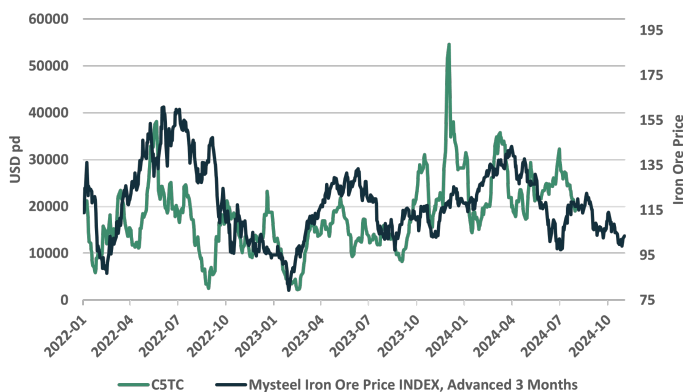
Bernhard Baardson

Capesize/Newcastlemax

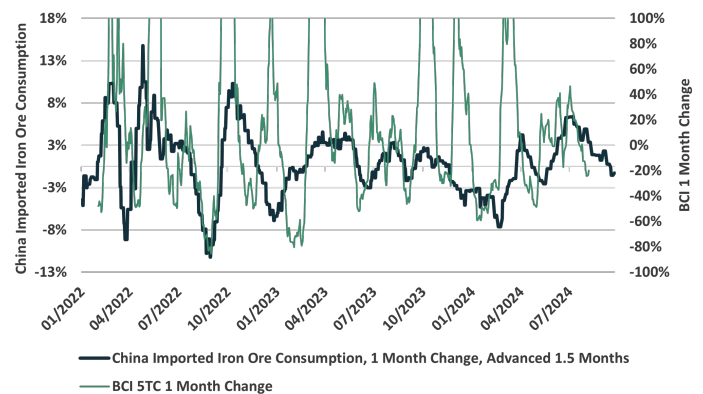
Lots of indicators point towards relative weakness during this month and next month.

- The 1-month change of China's imported iron ore consumption suggest the 1-month change of the BCI5TC could be around -20% until the end of September. This implies an average in the high teens through that period.
- Iron ore prices and steel prices also point towards weakness the next couple of months.
- Brazil iron ore shipments are likely past the seasonal peak, and Bauxite shipments are in a seasonal lull.

Iron Ore Price Lead vs Capesize 5TC



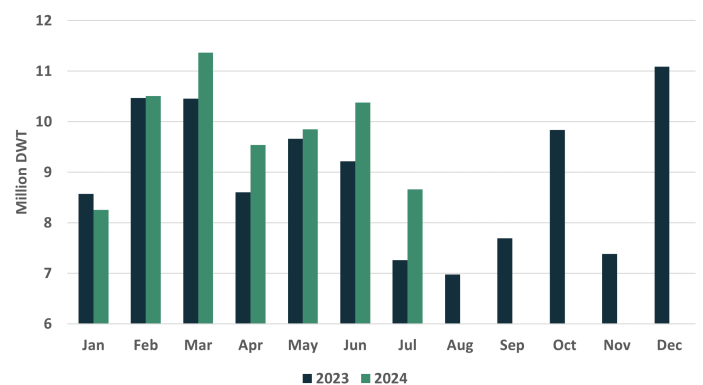
China Imported Iron Ore Consumption Lead vs Capesize 5TC



China Steel Rebar Price Lead vs Capesize 5TC



Capesize/Newcastlemax Guinea Export Seasonality



Panamax/Kamsarmax

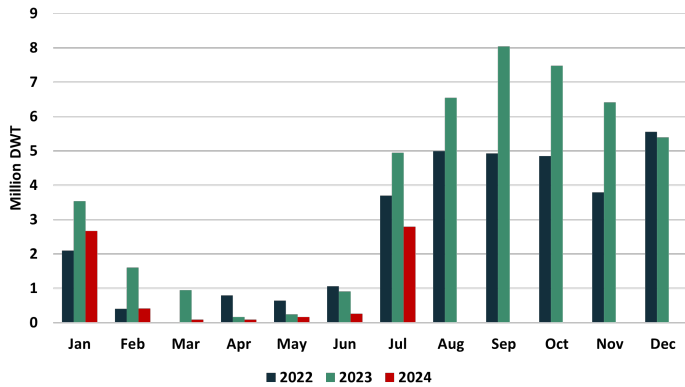
In the Supramax/Ultramax segment, there is a clear suggestion from seasonality that the bottom is close, and that a rally will soon follow. No such suggestion from Panamax/Kamsarmax market seasonality, with this year's development decoupling from seasonality the last month and a half.

It is the upcoming USG grain season along with the Brazilian corn shipment season that is the clear positive factors going forward, whereas coal markets remain quiet.

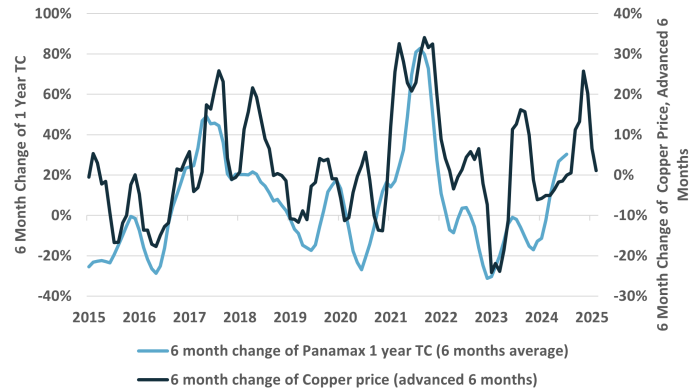
The Panama Canal water levels have returned to normal, and is projected to increase further the next two months. In view of the USG grain season, we do not consider increased Canal transits to be bearish for the markets, rather a loss of upside potential.

Our view in general is that earnings will average higher for the remainder of this year than the same period last year (15.160 USD pd). A rally could materialize in September, driven by US grains.

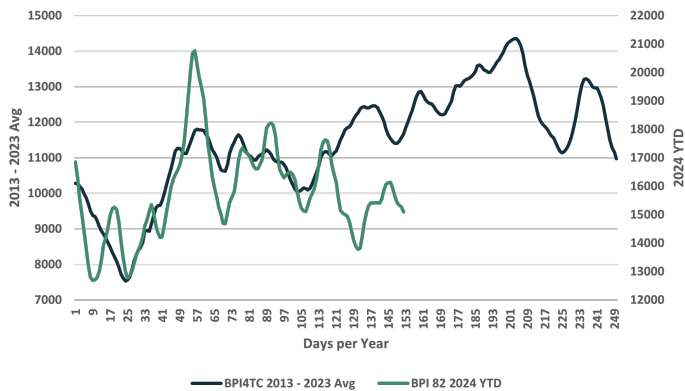
Panamax / Kamsarmax USG Exports



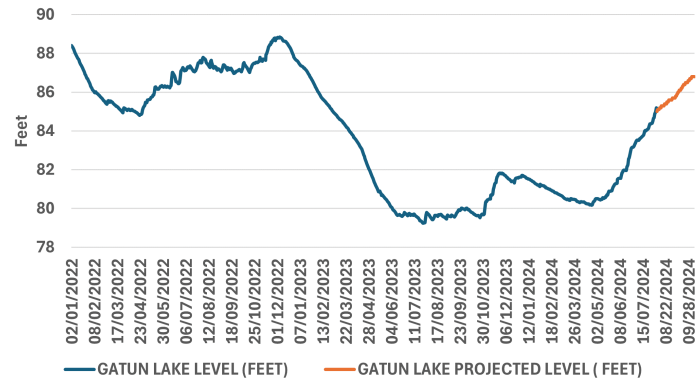
Copper Price Lead vs Panamax 1 Year TC



Panamax/Kamsarmax Seasonal Average Market Movement



Gatun Lake Water Levels Including Forecast



Supramax/Ultramax

Interesting weeks ahead for the markets. Average seasonality points to this week being a bottom, with a rally towards year-to-date highs to follow.

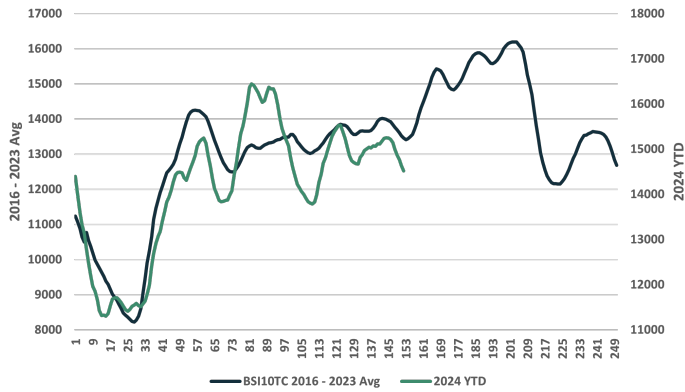
So far this year, the ups and downs of the market has perfectly matched the average between 2016 - 2023.

At the moment, we are not seeing any clear signs that a rally is about to begin, however. The USG grain season could be a trigger, and otherwise fundamentals are quite firm, with overall demand growth outpacing supply growth.

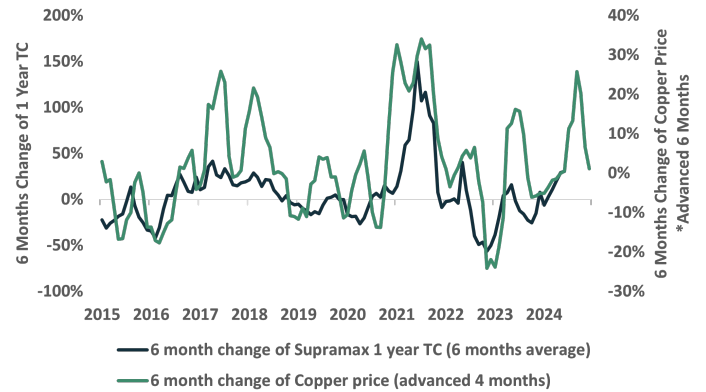
Several macro indicators are suggesting that the positive year-on-year change of Baltic Indices will continue until the end of the year. This does at least suggest market levels will not go much lower than where it is currently, as per the lower left chart.



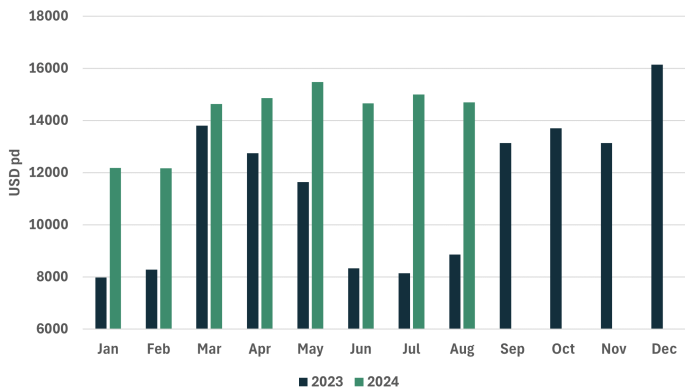
Supramax Seasonal Market Movement



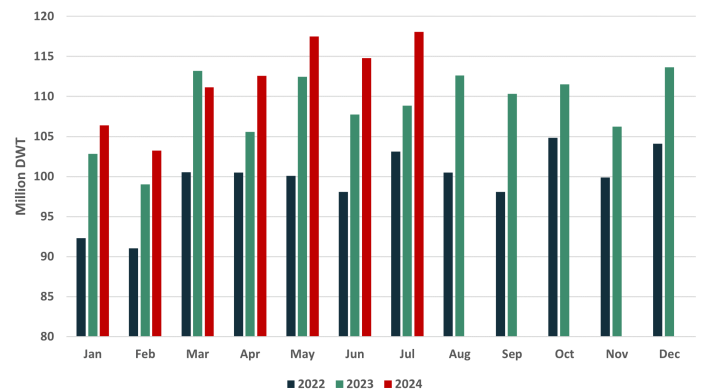
Copper Price Lead vs Supramax 1 Year TC



Supramax 10TC Average - 2023 vs 2024



Supramax / Ultramax Monthly Total Loadings - 2022, 2023 and 2024





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